

VSEUS

Economics Gazette

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Hello Econ Students!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

[This newsletter does not constitute financial advice or recommendations to buy, sell or hold investments.](#)

Send us feedback to finance@vseus.ca!

Macro Overview:

Concerns over President Trump's intent to acquire Greenland and fears he might use force dominated the week's narrative. These anxieties, coupled with anticipation of his intervention at the World Economic Forum in Davos, caused mid-week market downward volatility, which later rebounded. Additionally, the weakening Canada-U.S. relationship continues to cast doubt on the future of the Free Trade Agreement.

Market Performance:

	Current weekly performance	Past week performance
S&P 500	+1 %	+0.1 %
TSX	+0.45 %	+0.92 %
	Ending Yield this week	Past weekly Ending Yield
U.S. 10 Year Treasury Yield	4.241 %	4.16 %



by **Sebastian Contreras**
Research Analyst

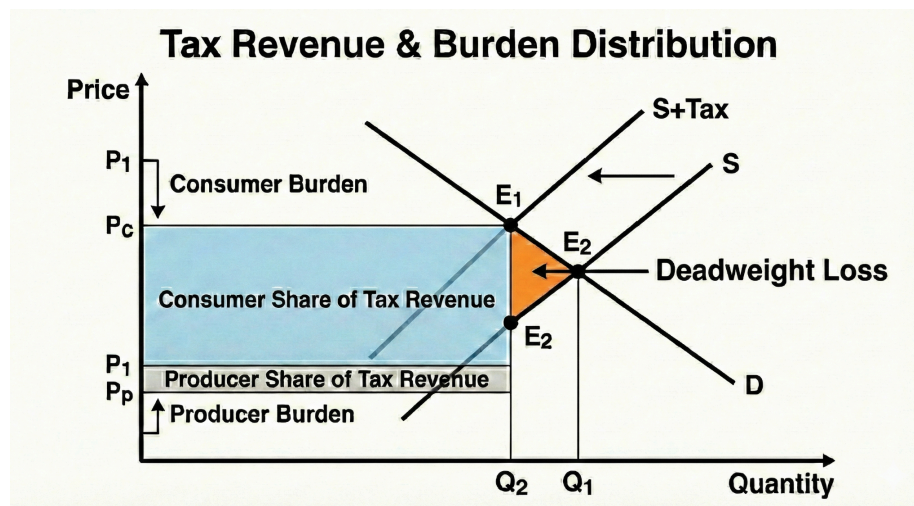
Who pays the bills for Trump's Economy?

Author, Source & Date Published: , January 2026

Link: [Bloomberg Article](#)

Overview:

A recently released Kiel Institute report approximates that the tariff burdens are 96% absorbed by American consumers. The report indicates that these tariffs function as a consumption tax on foreign goods. This means that nearly all of 200 billion dollars recollected by the government are deducted from the consumers and American businesses.



VSEUS, internal creation, 2026.

The graph shows how the Chinese goods were not discounted and simply there was a lower volume of Chinese goods entering the USA. The tariff effects are allocated accordingly to the respective elasticities of the supply and demand curve. In this case, the tariffs were so disruptive that didn't allow for changing the supply chain in the short-term, American consumers were left with no alternatives, hence they absorbed almost all of the tax burden.

Ultimately, tariffs are a tax on the consumer!

Risk:

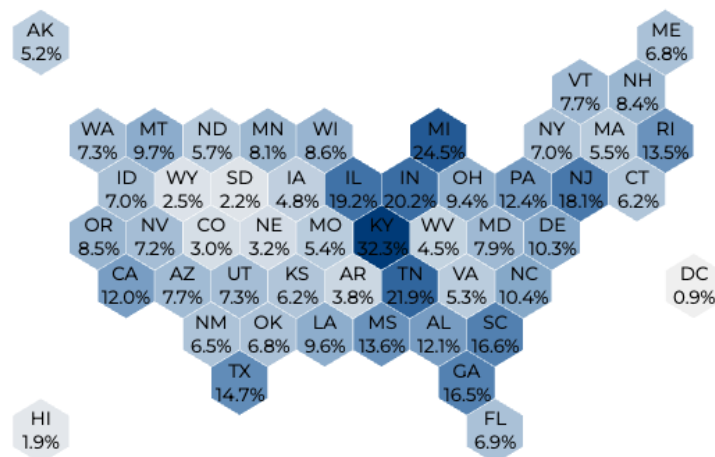
- The tariff functions as a regressive consumption tax on Americans. This shift not only erodes real disposable income but also reduces product diversification, forcing consumers toward higher-cost domestic alternatives. **Foreigners are not paying the cost of tariffs!**

Catalyst:

- This transfer from American Households to the US treasury could have massive consequences in the polls. This could take away the House of Congress from Republican control and would undermine Trump's grip in Congress.

But how likely is this?

Share of Imports to the US State's GDP



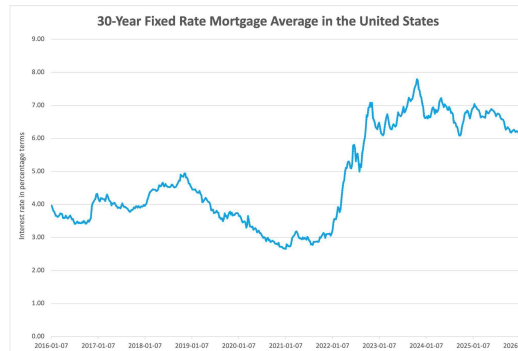
Source: U.S. Bureau of Economic Analysis

The geographic distribution of trade exposure potentially suggests that states **most vulnerable to retaliatory tariffs or supply chain disruptions include pivotal swing states such as Michigan, Indiana, and Georgia**. This heightened economic sensitivity increases the probability of a Democratic shift in the House during the 2026 midterms, which would structurally weaken the administration's leverage during the USMCA renewal negotiations.

This could suggest the focus on **Greenland may be a strategic "noise" tactic to deflect from domestic headwinds**. By pivoting the narrative, the administration can obscure the friction between sticky inflation and a softening labor market, distracting voters from the direct impact of tariff-induced costs on the real economy.

Educational Angle:

How does higher inflation affect mortgage monthly payments?

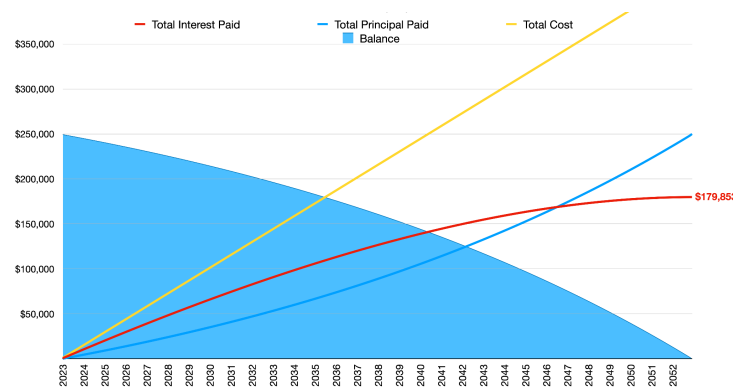


VSEUS, internal creation. Source: FRED, 2026

People have been paying their mortgage payment at a relatively high rate since 2022 considering the last 10 year data. Higher inflation means that the Fed would have to continue having more restrictive monetary policies, leaving interest rates high for a longer time.

$$\text{Monthly Mortgage payment} = (r * pv) / (1 - (1 + r)^{-t})$$

- r = Market interest rate
- pv = Present value of the Principal
- t = number of payment periods



This dynamic is driven by interest-heavy front-loading, because the monthly interest charge is calculated against the total outstanding balance. The bank's interest is highest when the principal is at its peak. In the early years, the majority of your fixed payment is consumed by this interest, leaving only a residual amount to repay the debt. However, as the principal gradually diminishes, the interest calculation applies to a smaller base, triggering a mathematical shift where an increasing proportion of each payment is diverted toward repaying the principal.



by Goli Eshtiaghi
Research Analyst

"The New World Order": What Does the Canadian Trade Diversification Strategy Look Like?

Overview

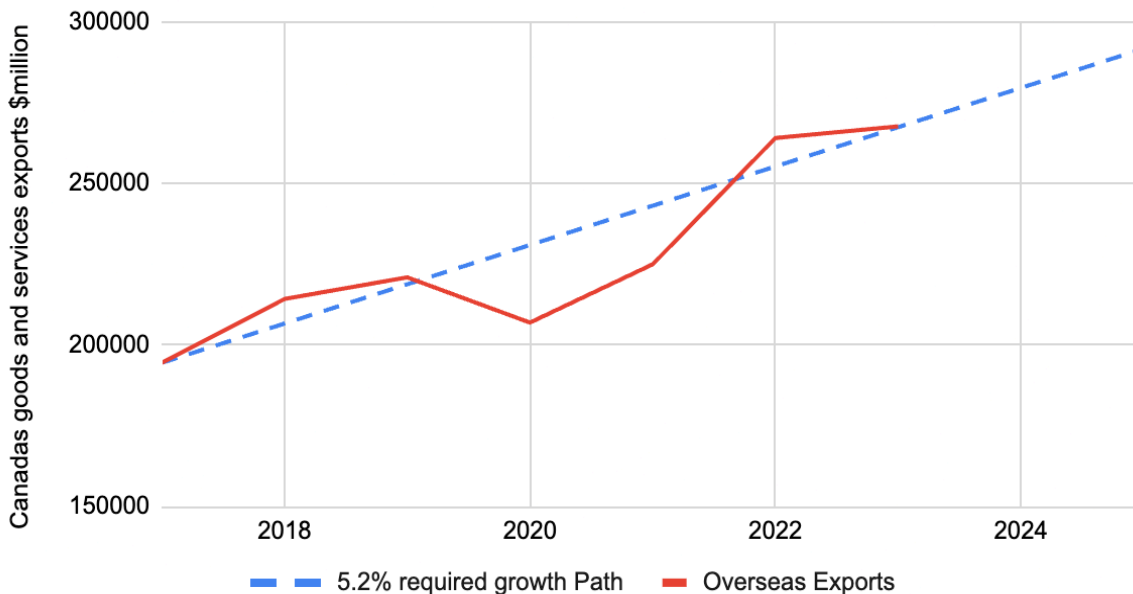
All eyes turned to Davos this past week as world leaders such as Mark Carney, Emmanuel Macron, and Donald Trump took the stage to make known their much-anticipated stance on the current state of international trade and economics at the World Economic Forum. Many emphasized the urgency of **collective responsibility and taking action in the midst of a rupture**, the importance of stability, and not succumbing to hegemony that seeks monetary advantages due to their geopolitical position. One of the most influential speeches was the one given by Prime Minister Mark Carney, where he both anticipated and encouraged that **"allies diversify to hedge against uncertainty, buy insurance, increase options in order to rebuild sovereignty"**. Since assuming office in March of 2025, the Carney government has prioritized trade diversification and led by example in expanding Canadian bilateral and multilateral trade agreements. Most recently (and perhaps controversially), preliminary agreements with China have further reinforced Canada's desire to manage risk and take pragmatic steps towards maintaining its sovereignty and improving its trade balance in a non-US direction. But what does this strategy look like and what are the mechanics that underpin its success?

The Diversification Trajectory

- Canada's goal is to **grow its trade with non-US partners at an annual rate of 5.2%, mostly facilitated through FTAs (Free Trade Agreements)**. Canada has a long history of establishing and maintaining mutually beneficial FTAs which provide preferential trade access to major global markets. The Canada-European Union Comprehensive Economic and Trade Agreement (CETA), Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) and many other pre-existing, mouthful FTAs will now become a bigger focus for the government and businesses.

Canada Exports to non-US markets: Actual Vs. Target

Source: Government of Canada, Authors' Visualization



- Another prong of the diversification strategy is the negotiation and signing of entirely new deals. **Canada has already concluded negotiations with Ecuador and Indonesia, is in negotiations with the Association of South East Asian Nations (ASEAN), and exploring its options with places like Qatar, the Philippines, and China.**
- Opening dialogue with China, the second biggest economy in the world, after relations soured in 2018 has already resulted in the lifting of tariffs on Chinese EVs and Canadian exports of canola seeds, lobsters and other products. The decision to shake hands with China as Canada-US relations erode has raised many questions around the **potential risks associated with this new friendship**. It should be noted, however, that we are in the early stages of agreement negotiations and what the outcome of this relationship will be is not completely known.

Educational Angle: Hedging Against Risk

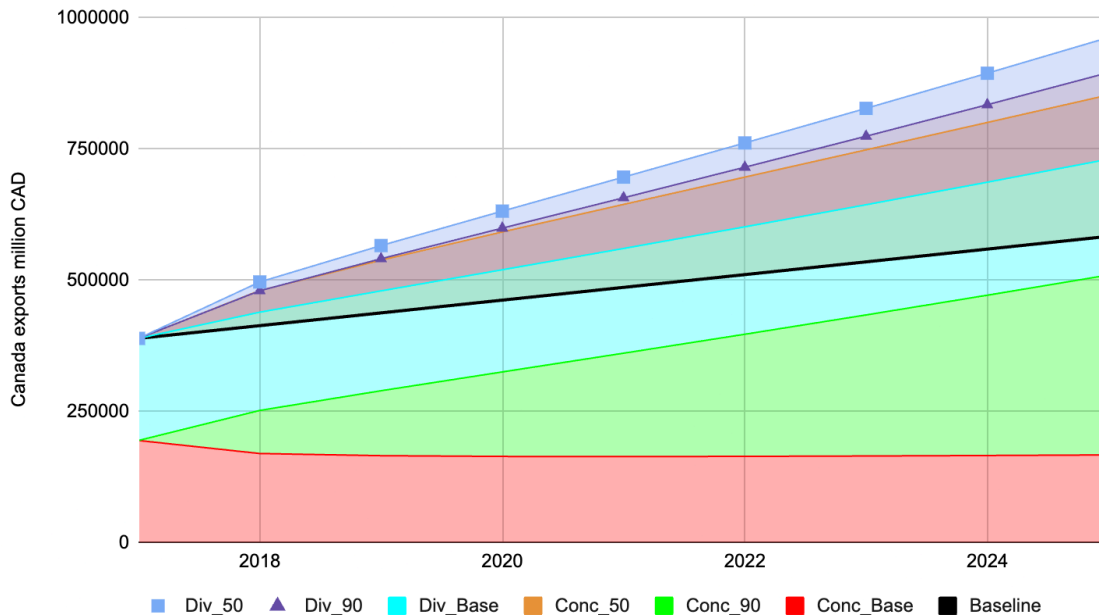
Diversification is widely understood as a tool against uncertainty and risk. It's an intuitive concept, but there are economic models and visual tools that can display the mechanics of hedging through diversification even better. **We can use the 5.2% growth path used by the government of Canada to look at some alternative scenarios where exports are concentrated or diversified.** The baseline in the figure below (black) shows the same growth trajectory in the previous figure. It's the expected or median export path:

$$E[X_t] = X_0 \cdot (1 + \text{growth rate})^t$$

We then use a fan chart to visualize the **distribution of future outcomes implied by shocks, rather than a single point forecast under the diversification and concentrated scenarios.**

Export diversification narrows risk under uncertainty

Authors' Calculations & Visualization



The **area of the fan chart visualizes the range of possible export outcomes generated by uncertainty.** In the concentrated export scenario, this range is substantially wider, indicating greater volatility and downside risk. Although expected export growth is unchanged, adverse shocks can cause realized export revenues to deviate significantly from the desired trajectory. **This occurs because reliance on a small number of trading partners exposes exports to correlated shocks, amplifying risk.** The lower bound of the fan (Conc_Base) captures a worst-case outcome, while the 50% and 90% bands stacked above it show the increasing dispersion of outcomes around the baseline. The equations look something like below for the interested reader:

$$\text{Conc_Base}_t = E[X_t] \cdot e^{-z_{90} \sigma_c \sqrt{t}}$$

On the upper part of the graph we can see the result of diversification. **The fan chart is just a visualization of the probability distribution; when variance (uncertainty) falls, the distribution tightens, and the shaded region shrinks.** This is exactly what diversification accomplishes. It creates more certainty that the set-out trajectory can be followed.